PABRAI INVESTMENT FUNDS

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To:	All Limited Partners and Investors of the Pabrai Investment Funds
From:	Mohnish Pabrai, Managing Partner
Date:	October 13, 2022
Re:	**Q3 2022 Results etc.**

Dear Partners:

For the quarter ended September 30, 2022, a total of $9.1 million was added to the various funds by new and existing partners. The additions on a per fund basis are:

PIF2: $2.0 million PIF3: $3.1 million PIF4: $4.0 million

PIF2 is our oldest fund and is closed to new investors. SEC rules limit PIF2 to a total of 100 partners and the fund currently has no open slots.

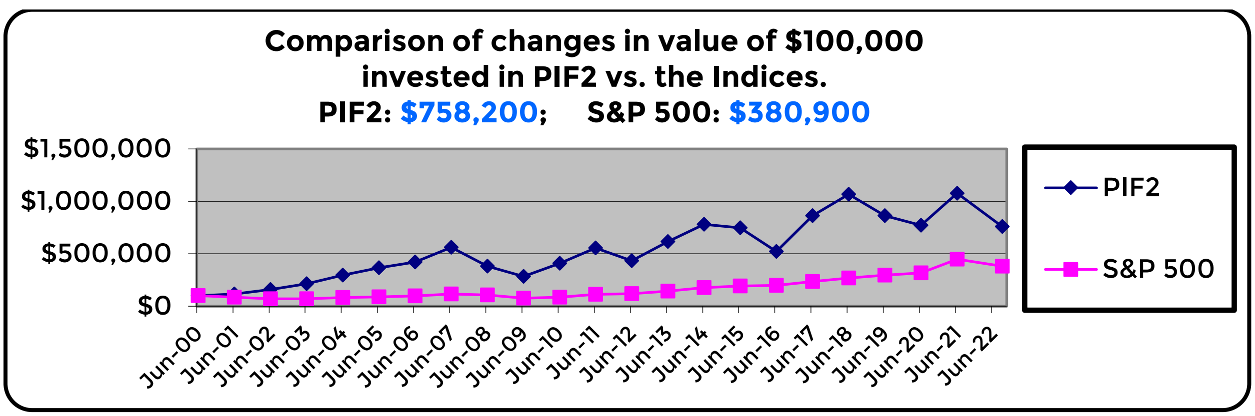
PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is $3.5 million. PIF4 is for qualified US-based investors. The minimum investment to join PIF4 as a new partner is $5 million.

For current investors in any of the funds, the minimum addition to their current investment is $25,000. For IRA investors the minimum is $5,000. Here are the deposit slips for PIF2, PIF3 and PIF4. If you are interested in or would like more information about the January 1, 2023 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com.

The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-14.0%	17.4%
7/1/01-6/30/02	-18.0%	35.3%
7/1/02-6/30/03	0.3%	34.2%
7/1/03-6/30/04	19.1%	38.7%
7/1/04-6/30/05	6.3%	23.4%
7/1/05-6/30/06	8.6%	15.0%
7/1/06-6/30/07	20.6%	34.0%
7/1/07-6/30/08	-13.1%	-32.4%
7/1/08-6/30/09	-26.2%	-25.2%
7/1/09-6/30/10	14.4%	43.6%
7/1/10-6/30/11	30.7%	35.8%
7/1/11-6/30/12	3.9%	-21.8%
7/1/12-6/30/13	20.6%	42.2%
7/1/13-6/30/14	24.6%	26.7%
7/1/14-6/30/15	7.4%	-4.5%
7/1/15-6/30/16	4.0%	-30.0%
7/1/16-6/30/17	17.9%	64.9%
7/1/17-6/30/18	14.4%	23.9%
7/1/18-6/30/19	10.4%	-19.2%
7/1/19-6/30/20	7.5%	-10.6%
7/1/20-6/30/21	40.8%	39.7%
7/1/21-6/30/22	-10.6%	-28.9%
1/1/22-9/30/22	-23.9%	-30.4%
Annualized	**6.3%**	**9.6%**
Cumulative	**280.9%**	**658.2%**



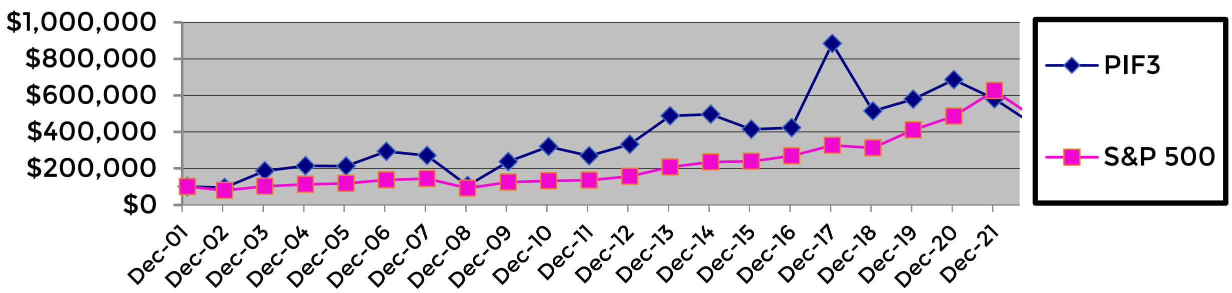
PIF2 Investors:

A $100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 ($197,900) was worth $1,062,300 as of September 30, 2022 (net to investors). This equates to an annualized return of 10.7% since inception – after all fees and expenses. An investment of $100,000 in the S&P 500 on July 1, 1999 was worth $404,570 on September 30, 2022 – an annualized gain of 6.2%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-20.4%	-5.2%
1/1/03-12/31/03	28.7%	96.5%
1/1/04-12/31/04	10.9%	14.7%
1/1/05-12/31/05	4.9%	-0.2%
1/1/06-12/31/06	15.8%	37.8%
1/1/07-12/31/07	5.5%	-7.8%
1/1/08-12/31/08	-37.0%	-60.9%
1/1/09-12/31/09	26.5%	125.0%
1/1/10-12/31/10	15.1%	34.4%
1/1/11-12/31/11	2.1%	-15.7%
1/1/12-12/31/12	16.0%	23.4%
1/1/13-12/31/13	32.4%	46.6%
1/1/14-12/31/14	13.7%	1.9%
1/1/15-12/31/15	1.4%	-16.7%
1/1/16-12/31/16	11.9%	2.3%
1/1/17-12/31/17	21.8%	109.2%
1/1/18-12/31/18	-4.4%	-41.9%
1/1/19-12/31/19	31.5%	12.5%
1/1/20-12/31/20	18.4%	18.4%
1/1/21-12/31/21	28.7%	-15.2%
1/1/22-9/30/22	-23.9%	-18.7%
Annualized	**7.8%**	**7.8%**
Cumulative	**375.9%**	**372.2%**

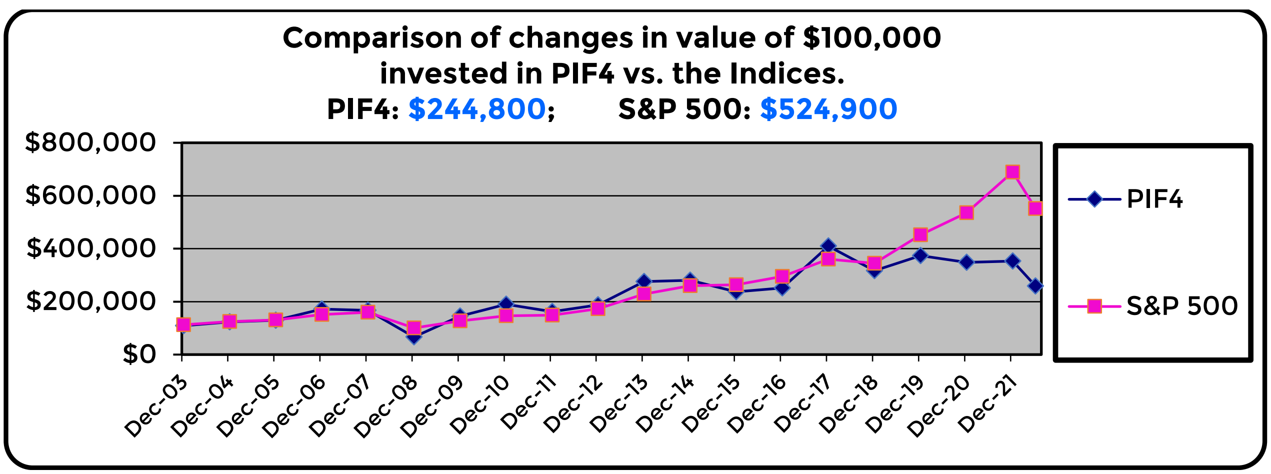
Comparison of changes in value of $100,000 invested in PIF3 vs. the Indices.
PIF3: $472,200; S&P 500: $475,900



PIF3 Investors:
A $100,000 investment in PIF3 at inception on February 1, 2002 was worth $472,200 as of September 30, 2022 (net to investors). This equates to an annualized return of 7.8% since inception. An investment of $100,000 in the S&P 500 on February 1, 2002 was worth $475,900 on September 30, 2022 – an annualized gain of 7.8%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	12.2%	8.4%
1/1/04-12/31/04	10.9%	14.4%
1/1/05-12/31/05	4.9%	4.9%
1/1/06-12/31/06	15.8%	32.4%
1/1/07-12/31/07	5.5%	-3.4%
1/1/08-12/31/08	-37.0%	-60.0%
1/1/09-12/31/09	26.5%	118.8%
1/1/10-12/31/10	15.1%	30.7%
1/1/11-12/31/11	2.1%	-14.8%
1/1/12-12/31/12	16.0%	16.1%
1/1/13-12/31/13	32.4%	46.0%
1/1/14-12/31/14	13.7%	1.8%
1/1/15-12/31/15	1.4%	-15.4%
1/1/16-12/31/16	11.9%	6.3%
1/1/17-12/31/17	21.8%	62.4%
1/1/18-12/31/18	-4.4%	-22.8%
1/1/19-12/31/19	31.5%	18.0%
1/1/20-12/31/20	18.4%	-6.7%
1/1/21-12/31/21	28.7%	1.5%
1/1/22-9/30/22	-23.9%	-30.7%
Annualized	**9.1%**	**4.8%**
Cumulative	**424.9%**	**144.8%**



PIF4 Investors:
A $100,000 investment in PIF4 at inception on October 1, 2003 was worth $244,800 as of September 30, 2022 (net to investors). This equates to an annualized gain of 4.8% since inception. An investment of $100,000 in the S&P 500 on October 1, 2003 was worth $524,900 on September 30, 2022 – an annualized gain of 9.1%. The S&P 500 gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

While PIF2 and PIF4 are behind the S&P 500 so far this year, we are seeing some meaningful green shoots appear. We may have turned a corner starting in April 2022. For the last six months, all three funds have meaningfully outperformed the S&P 500. While the S&P is down 20.2% in the last two quarters, PIF2 is down 13.9%, PIF3 is down 6.0% and PIF4 is down 16.5%.

The main reason for the difference between PIF2/PIF4 and PIF3 was the tax loss selling of Prosus that I explained in the last letter to partners. Without the headwind caused by the Prosus tax loss selling, PIF2 and PIF4's numbers would be a lot closer to PIF3. When I look at the holdings of all three funds and the extremely wide gap to intrinsic value, our numbers for the last six months are no surprise and I would expect us to continue to gain on the S&P in the years ahead.

The marked to market value of the three funds was about $425 million on 9/30/22, it could easily triple in the next 3-5 years. I would be very surprised if we are not compounding at 20+% a year for the next several years. I also expect it to be lumpy.

If we look back, in the last nine months of 2009, all three funds were up over 100%. PIF3 was up 129%. The funds were up another 30+% in 2010 after the stellar 2009 run and delivered very strong numbers from 2009 through 2017.

The composition of the funds today vs. 2009 is quite different. The common element is the massive delta between market value and underlying intrinsic value. We also had a few losers in the 2009-17 period, including a $60 million loss when Horsehead went bankrupt. It did not interrupt the compounding engine. I am sure one or more of our current bets will not work. I hope the mistake is a flatline or a small loss, but even a larger mistake should still get us to the promised land.

While most investors look at 2022 as a year to forget, it has been a good year for us. We added TAV Airports and one more great undisclosed compounder in 2022. I am excited that we own small fractions of these two fine businesses. I look at Pabrai Funds like a vineyard. Here are the vintages of the various wines in our vineyard:

2015 brought us Rain Industries.
2017 brought us Sunteck Realty.
2018 brought us Edelweiss Financial, IEX and Micron Technology.
2019 dropped Reysas Logistics in our lap.
2022 brought us TAV Airports and another great compounder.
Etc.

There is a high likelihood of Rain Industries delivering an 8-10x return in the 8-10 years we would have held it by 2023-25. Reysas could be the first hundred bagger in the funds in the next 10-15 years. Edelweiss, Micron, Sunteck, TAV Airports and the undisclosed 2022 vintage compounder are no slouches and will likely deliver solid multi-baggers returns in the years ahead. One of my big regrets is selling IEX in 2020 when the pandemic hit. It is the most amazing listed business I ever visited in India.

I would rather not add more dollars or investors to the funds and dilute our deeply undervalued holdings. The funds are only open to try to offset redemptions so we get to fully play out our hand. We just need to let these fine wines mature and reach their full potential in the years ahead. If we have no buys or sells for several years, we'll do quite well. Your job and my job is to mostly do nothing. Set it and forget it.

Pabrai Funds 2022 Annual Meeting Presentation

We had two very successful annual meetings in September. One in-person meeting at St. Edwards University in Austin and a virtual meeting. It was a pleasure to meet old friends and partners and welcome new ones. I'm very grateful to Kimberly and Pauline for all their diligence in organizing the various facets of the meetings and dinners so flawlessly.

The Annual Meeting presentation slides and transcript are posted on our website. Here is the link to the transcript:

Pabrai Funds/Dhandho 2022 Annual Meeting Transcript

The transcript is best read in conjunction with the presentation slides (the password to the video is "Munger"):

Pabrai Funds/Dhandho 2022 Annual Meeting Presentation on Vimeo

Alignment of Interests

My immediate family has a stake of 175,859 units of PIF2 and 433,197 units of PIF4. The administrative team at Pabrai Funds and I own 54,157 units of PIF4 and 11,773 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 92,070 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately $30 million.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q3 2022.

I have an approximately $4.7 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately $0.5 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

Online Portal for Investment Statements

Your 9/30 investor statement have been uploaded to your investor portal. If you have trouble accessing your investor portal or need to reset your password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

Our fund administrator, Liccar, has migrated all investor portals to a new platform. You should have already received a link from Liccar Fund Services to set up your new portal. If you did not receive your email invitation, or you are experiencing issues, please contact Kimberly as soon as possible.

Estimated K-1's (for US Investors)

For PIF2 and PIF4 investors, based on our tax loss selling activity so far this year, we anticipate your K-1s to show meaningful short-term capital losses and modest long-term gains and dividend income. We expect the short-term capital losses will more than offset any long-term gains. Given the tax position of the funds, we do not plan to issue an estimated K-1 this year. Your final K-1's will be issued in late March 2023.

Redemptions

Please note that if you plan to redeem funds, we must have the request in writing by November 1, 2022. Funds go out approximately 20 business days after year end based on the December 31 NAV. To get the redemption form emailed to you, please nudge Kimberly Engleman at ke@pabraifunds.com.

The redemptions forms are also on our website:

PIF2 Redemption Form 2022
PIF3 Redemption Form 2022 - US
PIF3 Redemption Form 2022 - Offshore
PIF4 Redemption Form 2022

As a reminder to our older IRA investors, keep in mind that redemptions are paid in January when submitting a redemption for any Required Minimum Distribution (RMD). If you are turning 72 in 2023, you may need to submit your redemption form this year to satisfy the RMD. If you elect to delay your first RMD as allowed by the IRS until April 1, 2024 and submit your redemption form in 2023, then you will need to also include your second RMD distribution in that total.

We have an annual redemption date on September 30th only for retirement accounts invested in the PIFs in which the beneficial owner is 72 years or older. The purpose of this is to allow folks who are 72 years or older and who are invested in the PIFs with retirement assets to meet their annual RMDs. These investors can also still redeem whatever they wish on 12/31 with 60 days' advance notice.

RMD redemptions at September 30 on a per fund basis are:

PIF3: $1,620,102 PIF4: $150,584

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. With zero travel due to Covid, I have reduced my decline rate on speaking to students. I try to do 1-2 Zoom sessions with students every month. This is about the max. of what I am interested in doing. Here are some recent additions to the blog:

Q&A session with the Asian Institute of Technology, Bangkok - August 30, 2022

I very much enjoyed this recent Q&A session with the students at the Asian Institute of Technology in Bangkok. We talked about Rakesh Jhunjhunwala's investing career, Uber Cannibals and investing in China.

Q&A session with the Asian Institute of Technology, Bangkok - August 30, 2022

Lecture on Approaches to Value Investing - July 14, 2022

I very much enjoyed my Q&A session on Value Investing with Narsee Monjee Institute of Management Studies, Mumbai. I discussed value investing, McDonald's 60+ years of compounding and Global Multibaggers.

Lecture on Approaches to Value Investing - July 14, 2022

Suggestion Box

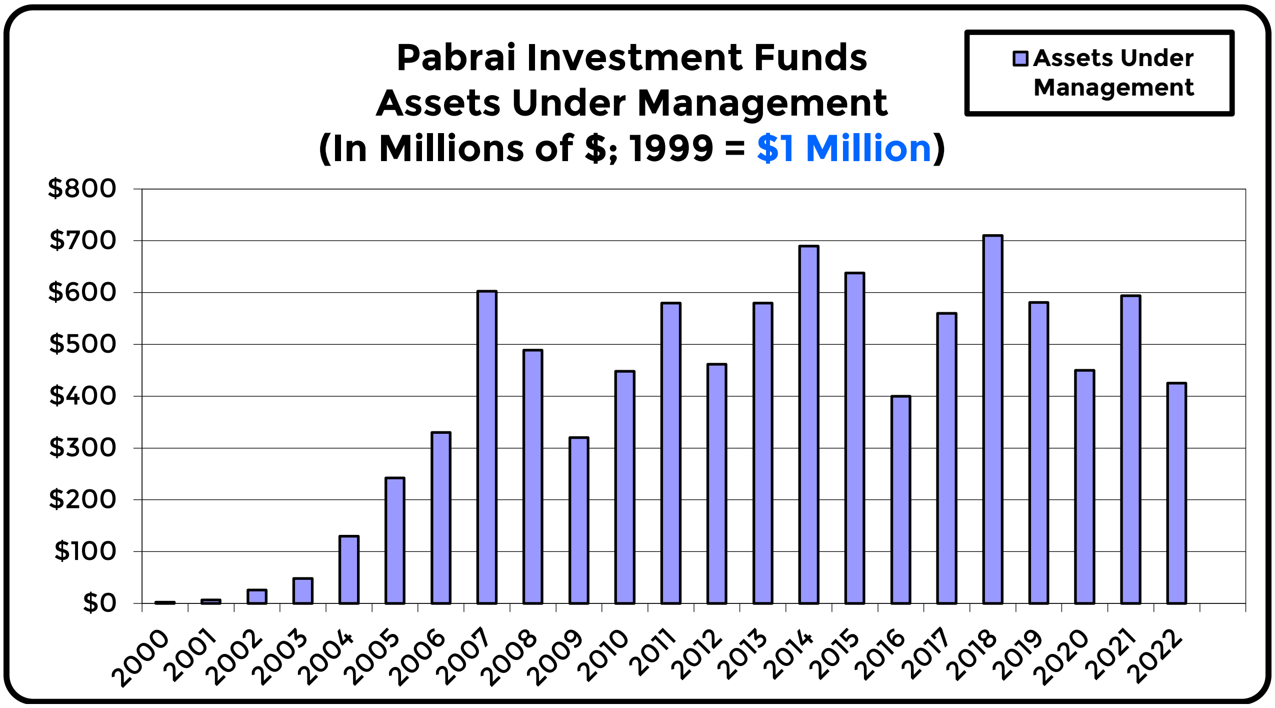
We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com.

2023 Annual Meeting

As we did this year, we intend to have two annual meetings sequentially in September 2023: an in-person meeting in Austin, Texas and a virtual meeting. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds. We will provide dates for both events in future letters; we'll try our best not to schedule our Austin meeting when the Longhorns have a home game 😊.

Assets Under Management

There is $425 million in assets across all three funds as of September 30, 2022.



Thanks for your continued interest, referrals and support. Feel free to call me at +1512.999.7110 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	$10.00
330,014	06/30/2001	$11.74
1,027,795	06/30/2002	$15.89
1,950,982	06/30/2003	$21.32
2,445,212	06/30/2004	$29.58
2,696,687	06/30/2005	$36.52
2,646,687	06/30/2006	$41.99
3,013,111	06/30/2007	$56.25
2,934,990	06/30/2008	$38.01
2,468,091	06/30/2009	$28.45
2,409,165	06/30/2010	$40.84
2,257,421	06/30/2011	$55.46
2,180,892	06/30/2012	$43.36
2,057,676	06/30/2013	$61.68
1,906,927	06/30/2014	$78.13
1,795,006	06/30/2015	$74.64
1,684,602	06/30/2016	$52.26
1,774,805	06/30/2017	$86.17
1,959,084	06/30/2018	$106.77
1,896,122	06/30/2019	$86.30
1,830,037	06/30/2020	$77.13
1,841,919	06/30/2021	$107.77
1,841,919	09/30/2021	$108.71
1,806,321	12/31/2021	$108.91
1,807,057	03/31/2022	$88.11
1,859,576	06/30/2022	$76.64
1,885,954	09/30/2022	$75.82

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	$10.00
265,919	12/31/2002	$9.48
485,041	12/31/2003	$18.63
1,774,753	12/31/2004	$21.37
2,478,793	12/31/2005	$21.32
2,930,608	12/31/2006	$29.37
6,438,615	12/31/2007	$27.09
5,415,189	12/31/2008	$10.57
5,038,658	12/31/2009	$23.79
4,885,267	12/31/2010	$31.95
4,701,613	12/31/2011	$26.92
4,318,818	12/31/2012	$33.21
4,384,591	12/31/2013	$48.70
4,290,222	12/31/2014	$49.61
3,805,336	12/31/2015	$41.33
2,433,652	12/31/2016	$42.27
2,409,693	12/31/2017	$88.45
2,473,097	12/31/2018	$51.42
2,376,897	12/31/2019	$57.85
2,326,717	12/31/2020	$68.52
2,442,868	12/31/2021	$58.11
2,493,556	03/31/2022	$50.25
2,667,607	06/30/2022	$47.11
2,698,641	09/30/2022	$47.22

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	$10.00
1,219,330	12/31/2003	$10.84
5,627,712	12/31/2004	$12.40
9,314,803	12/31/2005	$13.01
11,528,331	12/31/2006	$17.23
16,899,746	12/31/2007	$16.64
15,737,042	12/31/2008	$6.66
15,725,066	12/31/2009	$14.57
15,251,129	12/31/2010	$19.05
14,493,713	12/31/2011	$16.24
12,398,564	12/31/2012	$18.85
11,560,683	12/31/2013	$27.53
10,642,015	12/31/2014	$28.03
9,531,764	12/31/2015	$23.71
8,792,042	12/31/2016	$25.21
8,040,030	12/31/2017	$40.96
7,809,565	12/31/2018	$31.64
6,628,989	12/31/2019	$37.33
6,034,088	12/31/2020	$34.82
5,783,836	12/31/2021	$35.33
5,894,056	03/31/2022	$29.33
6,169,477	06/30/2022	$25.84
6,326,745	09/30/2022	$24.48

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.